

FUND OF FUNDS FOR STARTUPS (FFS)

Detailed Scheme Information Document

Subject: Government of India support for startup funding through Alternative Investment Funds (AIFs).

Coverage: Original Fund of Funds for Startups (FFS 1.0), implementation structure, eligibility, application process, startup access route, current status information and Startup India Fund of Funds 2.0.

This document is prepared for educational, research and website-project use. Always verify the latest official guidelines, notifications and portal instructions before relying on a specific eligibility condition or current application status.

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1. Overview

The Fund of Funds for Startups (FFS) is a Government of India initiative created to improve the availability of domestic venture capital for Indian startups. The scheme does not normally invest directly in individual startups. Instead, the Government provides capital to eligible SEBI-registered Alternative Investment Funds (AIFs), also called daughter funds. These AIFs then invest in eligible startups.

The scheme is connected with the Startup India initiative and is administered through the Department for Promotion of Industry and Internal Trade (DPIIT), with the Small Industries Development Bank of India (SIDBI) acting as the principal implementing and fund-management organisation for FFS 1.0.

The central concept is catalytic investment: Government capital is used to encourage larger private investment into startups through professionally managed investment funds.

2. Background and Launch

The Fund of Funds for Startups was approved in 2016 in line with the Startup India Action Plan. The original scheme was established with a corpus of ₹10,000 crore. The Government's purpose was to address the shortage of domestic

risk capital, increase investment in innovation-driven enterprises and support the development of India's startup ecosystem.

The Prime Minister's Office described the original FFS as a fund placed at SIDBI for contribution to SEBI-registered AIFs, which would extend funding support to startups. The scheme was expected to generate substantial employment when fully deployed.

The scheme is not a conventional bank loan programme. It works through equity and equity-linked investment funds.

3. Objectives

- Increase the availability of domestic venture capital for Indian startups.
- Catalyse private-sector investment in startups.
- Support innovation-driven and high-potential enterprises.
- Improve access to growth capital at different startup stages.
- Strengthen the Indian venture-capital and alternative-investment ecosystem.
- Encourage professionally managed investment funds.
- Support startups that may find it difficult to obtain traditional bank finance.
- Promote employment, innovation, technology development and wealth creation.
- Improve access to capital across sectors, stages and geographies.
- Create a multiplier effect by requiring supported AIFs to invest additional capital in startups.

4. How the Fund of Funds Model Works

The funding flow is:

Government of India / DPIIT → SIDBI → SEBI-registered AIFs → Eligible startups

The Government does not ordinarily select and fund each startup directly under FFS 1.0. SIDBI selects eligible daughter funds and commits capital to them. The selected AIFs identify, evaluate and invest in startups according to their own investment strategy, fund documents, applicable law and scheme conditions.

This structure allows professional fund managers to make investment decisions while Government capital helps attract additional private capital.

5. Administrative Structure

- **DPIIT:** The nodal Government department responsible for the Startup India policy framework and oversight of the FFS programme.
- **SIDBI:** The implementing organisation for FFS 1.0. It selects suitable AIFs, commits capital, oversees disbursement and monitors the fund lifecycle.
- **SEBI:** The securities-market regulator under whose framework eligible AIFs are registered.
- **Alternative Investment Funds:** The daughter funds that receive FFS contributions and invest in startups.
- **Startups:** The downstream beneficiaries receiving investment from the selected AIFs, subject to the AIF's investment strategy and eligibility requirements.

6. Corpus and Financial Structure

- Original FFS corpus: ■10,000 crore.
- Established under the Startup India framework in 2016.
- Operationalised by SIDBI.
- Capital is committed to selected SEBI-registered AIFs.
- Supported AIFs are required to invest at least twice the FFS contribution in startups under the original scheme's stated multiplier condition.
- Example: if an AIF seeks and receives ■100 crore under FFS, it should invest at least ■200 crore in startups, subject to the applicable scheme and fund conditions.
- FFS is not a guaranteed grant to startups and does not assure investment to every recognised startup.

7. Who Can Apply Directly

The direct applicants under the original FFS are generally venture funds or Alternative Investment Funds, not individual founders.

- SEBI-registered Category I AIFs.
- SEBI-registered Category II AIFs.
- Funds that have applied for the applicable SEBI registration, where permitted by the current SIDBI process.
- Venture-capital or private-equity funds meeting the applicable scheme conditions.
- Funds whose investment strategy includes eligible Indian startups.

A startup generally approaches a selected AIF for investment. It does not ordinarily submit a direct FFS grant application to SIDBI.

8. Eligibility Conditions for AIFs

SIDBI's published FFS information identifies important eligibility conditions, including:

- Fund registered as Category I or Category II AIF with SEBI, or having applied for the relevant registration where accepted by the process.
- Fund corpus below ■1,000 crore under the published FFS criteria.
- Investment strategy must include investment in startups as defined by the Government of India.
- Fund must agree to invest at least twice the amount of contribution sought from FFS into startups.
- Fund manager or investment team should have a prior track record in fund management or investment experience.
- Key members of the fund should meet the stated CIBIL-score requirement of more than 650 under the published SIDBI criteria.
- Key members must be legally eligible to serve as directors or in managerial positions under Indian law.
- Fund must satisfy due diligence, legal, financial, governance and investment-strategy requirements.
- Merely meeting the listed criteria does not guarantee sanction; applications are assessed on merit.

The exact criteria may be revised. Applicants should use the current SIDBI application portal and current FFS guidelines.

9. What Startups Receive

Startups may receive investment from selected AIFs through instruments permitted by the fund and applicable law, including:

- Equity investment.
- Equity-linked instruments.
- Venture capital investment.
- Growth capital.
- Other permitted investment instruments under the AIF's fund documents and applicable regulations.

The actual investment amount, valuation, ownership percentage, investment stage, rights, conditions, reporting requirements and exit terms are decided by the AIF. FFS does not prescribe one uniform investment amount for every startup.

A startup's ability to receive funding depends on factors such as business model, innovation, market opportunity, team, traction, financial projections, scalability, sector, risk, fund mandate and due diligence.

10. Startup Eligibility and Recognition

The original FFS framework refers to startups recognised under the Government's Startup India definition, as amended from time to time. Startup recognition requirements may change through Gazette notifications.

The Startup India portal currently notes that the turnover threshold for startup recognition was revised from ₹100 crore to ₹200 crore by a 2026 DPIIT Gazette notification. Because recognition rules can change, a website should not hard-code older criteria without checking the current Startup India portal.

Common recognition-related factors historically include:

- Eligible legal form, such as a private limited company, registered partnership firm or limited liability partnership, subject to current rules.
- Age of the entity from incorporation or registration, subject to current rules.
- Turnover within the applicable Government threshold.
- Work toward innovation, development or improvement of products, processes or services, or a scalable model with employment or wealth-creation potential.
- Recognition by DPIIT through the applicable Startup India process.

11. Application Process for AIFs

SIDBI publishes an indicative fund-application process. It may include:

- Online registration.
- Eligibility screening.
- Preliminary questionnaire.
- Preliminary assessment and feedback.
- First meeting or interaction.
- Detailed application submission.
- Due diligence.
- Second meeting and terms discussion.
- Appraisal memorandum.

- Presentation to the Venture Capital Investment Committee.
- Review by SIDBI's Executive Committee.
- Final feedback.
- Issue of Letter of Intent, where approved.
- Finalisation of agreements.
- Onboarding and fund lifecycle monitoring.

Applications are submitted through the SIDBI fund application portal. The process may be updated, and submission does not guarantee approval.

12. Application Route for Startups

A startup seeking FFS-supported capital should generally follow this route:

- Obtain or confirm DPIIT startup recognition where applicable.
- Prepare a clear pitch deck and business plan.
- Prepare financial projections and details of funding requirements.
- Identify AIFs whose investment mandate matches the startup's sector and stage.
- Approach the selected AIF directly through its official website, investment team or application route.
- Submit the requested information and documents.
- Participate in due diligence, founder meetings and business evaluation.
- Negotiate investment terms if the AIF decides to proceed.
- Complete legal documentation and receive investment according to the agreed schedule.

There is no guarantee that a startup will be funded merely because it is DPIIT-recognised or because an AIF receives FFS support.

13. Investment Instruments and Decision-Making

FFS-supported AIFs may invest through equity or equity-linked instruments and other permitted instruments. The AIF makes the investment decision based on its mandate and commercial assessment.

- Business model and scalability.
- Founder and management team.
- Technology and intellectual property.
- Market size and competition.
- Revenue, traction and customer adoption.
- Financial performance and projections.
- Use of funds.
- Regulatory and legal risks.
- Potential for employment and wealth creation.
- Exit potential and long-term fund strategy.

The Government's contribution does not remove the commercial and legal responsibilities of the AIF. The fund manager remains responsible for investment selection, monitoring and exits.

14. Important Limitations

- FFS is not a direct grant scheme for individual founders.
- FFS is not a standard bank loan scheme.
- FFS does not guarantee funding to every startup.
- Startups must satisfy the investment criteria of the selected AIF.
- Investment may involve dilution of founder ownership.
- Investment terms differ from one AIF to another.
- Due diligence may take time and may require extensive business, financial and legal information.
- An AIF may focus on a particular sector, stage, geography or ticket size.
- Eligibility under Startup India does not automatically mean investment eligibility under every AIF.
- Current rules, fund availability and application status must be verified before applying.

15. Current Status of FFS 1.0

SIDBI's published status information as of 31 December 2025 reported approximately:

- ■11,808 crore in commitments made.
- 153 Alternative Investment Funds.
- ■22,942 crore invested in startups by AIFs under FFS.
- 1,270 startups supported under FFS.

DPIIT's 2025–26 annual-report information separately reported that, as of 31 December 2025, SIDBI had committed ■12,293 crore to 159 AIFs, with ■8,086.29 crore released from DPIIT to SIDBI and ■6,727 crore disbursed to AIFs. The figures differ between published sources and reporting formats, so a website should display the date, source and exact wording rather than combining them into one figure.

The original FFS and the newer FFS 2.0 should be displayed separately because they have different operational frameworks.

16. Startup India Fund of Funds 2.0

In 2026, the Government notified Startup India Fund of Funds 2.0 with a total corpus of ■10,000 crore. The scheme builds upon FFS 1.0 and is designed to mobilise venture and growth capital for startups.

Key features reported by the Government include:

- Corpus of ■10,000 crore.
- Commitments to eligible SEBI-registered Category I and Category II AIFs.
- Investment in DPIIT-recognised startups through selected AIFs.
- SIDBI as the initial implementing agency.
- Selection of an additional domestic implementing agency to expand reach and capacity.
- Focus on deep-tech startups.

- Support for micro venture capital funds and early-growth startups.
- Support for innovative and technology-led manufacturing sectors.
- Sector- and stage-agnostic fund categories.
- Defined corpus thresholds, Government contribution limits, fund tenure and private-capital mobilisation ratios.
- Co-investments or contributions from Ministries, Departments and institutional investors in priority sectors.
- Allocation of a portion of returns for ecosystem capacity building such as mentorship, shared infrastructure and ecosystem development.
- Two-stage AIF selection involving screening, due diligence and evaluation by a Venture Capital Investment Committee.

The exact segment-wise limits and ratios must be taken from the latest operational guidelines for FFS 2.0.

17. Difference Between FFS 1.0 and FFS 2.0

Feature	FFS 1.0	Startup India FoF 2.0
Corpus	■10,000 crore	■10,000 crore
Main route	SIDBI to selected AIFs to startups	Implementation agency to selected AIFs to startups
Direct startup investment	No	No; through AIFs
AIFs	Eligible SEBI-registered AIFs	SEBI-registered Category I and II AIFs
Focus	Broad startup ecosystem and domestic capital	Deep tech, early growth, innovative manufacturing and other segments
Implementation	SIDBI	SIDBI initially, with additional agency planned
Private capital	Multiplier approach; original FFS required at least 2x investment	Segment-specific mobilisation requirements
Status	Original scheme with historical/current reporting	Newer notified framework; verify operational availability

18. Related Startup Schemes

- **Startup India Seed Fund Scheme:** Early-stage support for proof of concept, prototype development, product trials, market entry and commercialisation.
- **Credit Guarantee Scheme for Startups:** Credit guarantees for eligible loans extended to DPIIT-recognised startups through member institutions.
- **Stand-Up India:** Credit-linked entrepreneurship support for eligible women and SC/ST entrepreneurs; it is distinct from FFS.
- **PMEGP:** Credit-linked subsidy for eligible new micro-enterprises; it is not a venture-capital fund.
- **State startup funds:** State-specific fund-of-funds or venture-capital initiatives may have separate eligibility and application rules.

19. Documents and Information Commonly Required

AIF applicants may commonly be asked for:

- SEBI registration or application details.
- Fund constitutional documents.
- Private Placement Memorandum or equivalent fund documents.

- Fund corpus and proposed fund size.
- Investment strategy and sector focus.
- Track record of fund manager and investment team.
- Details of key personnel and directors.
- Financial and legal information.
- Portfolio and investment history.
- Proposed use of FFS contribution.
- Private-capital mobilisation plan.
- Compliance, governance and due-diligence documents.

Startups approaching AIFs may commonly be asked for:

- DPIIT recognition certificate, where applicable.
- Incorporation and constitutional documents.
- Founder and director details.
- Pitch deck.
- Business plan and market analysis.
- Financial statements and projections.
- Revenue, traction and customer data.
- Cap table and previous funding details.
- Intellectual-property information.
- Regulatory licences, if relevant.
- Bank statements and tax information.
- Use-of-funds plan.
- Legal and commercial due-diligence documents.

20. Official Websites and Source Links

- **DPIIT:** <https://www.dpiit.gov.in/>
- **Startup India:** <https://www.startupindia.gov.in/>
- **SIDBI Fund of Funds:** <https://www.sidbivcf.in/en/funds/ffs>
- **SIDBI Fund Application Portal:** <https://vcfapplication.sidbi.in/>
- **Ministry of MSME:** <https://msme.gov.in/>
- **Original FFS Government information:**
https://www.pmindia.gov.in/en/news_updates/establishment-of-fund-of-funds-for-funding-support-to-start-ups/
- **Startup India Playbook:**
<https://www.startupindia.gov.in/content/dam/startupindia/homebanners/Startup-Schemes-Playbook-June-2026.pdf>
- **PIB announcement on FFS 2.0:** <https://www.pib.gov.in/PressReleasePage.aspx?PRID=2255545>
- **FFS 2.0 notification:** <https://egazette.gov.in/WriteReadData/2026/271764.pdf>

21. Website-Project Implementation Notes

For a government-scheme recommendation website, FFS should not be shown as a simple direct-cash benefit. It should be categorised as an indirect startup-investment support scheme.

Recommended website fields:

- Scheme name.
- Scheme version: FFS 1.0 or FFS 2.0.
- Target applicant: AIF or startup seeking AIF investment.
- Direct application available: generally for eligible AIFs.
- Startup access route: approach selected AIFs.
- Funding type: equity/equity-linked investment through funds.
- Corpus and multiplier.
- Sector and stage focus.
- Recognition requirement.
- Official implementing agency.
- Official application portal.
- Current status and last verified date.
- Disclaimer that investment is not guaranteed.

A recommendation engine should distinguish between: (a) a startup applying for DPIIT recognition, (b) a startup seeking investment from an AIF, and (c) an AIF applying for Government contribution. These are different user journeys.

22. Verification Checklist

- Confirm whether the user is a startup, founder, AIF or fund manager.
- Check the latest FFS 1.0 or FFS 2.0 framework.
- Confirm the current implementing agency.
- Check whether the relevant AIF application portal is open.
- Verify SEBI registration category.
- Verify current startup-recognition rules.
- Check the latest corpus, commitment and investment figures.
- Do not present AIF investment as a guaranteed subsidy.
- Show the correct official application route.
- Display the date of the information.
- Link to official Government, SIDBI, DPIIT and Startup India sources.
- Check for later circulars, amendments or replacement schemes.

Important Disclaimer

This document is an expanded informational guide prepared from official Government and institutional information available through the cited websites. Scheme rules, startup-recognition definitions, fund eligibility, investment multipliers, application procedures, fund status and operational availability may change. The latest official guidelines and portal instructions must be consulted before making financial, legal or application decisions.